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Subject: GLOBAL MARKETS CALL: Bond Yields Ease
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YARDENI QUICKTAKES

GLOBAL MARKETS CALL: Bond Yields Ease

By Ed Yardeni & Toby Hearst • 25 Oct 2026

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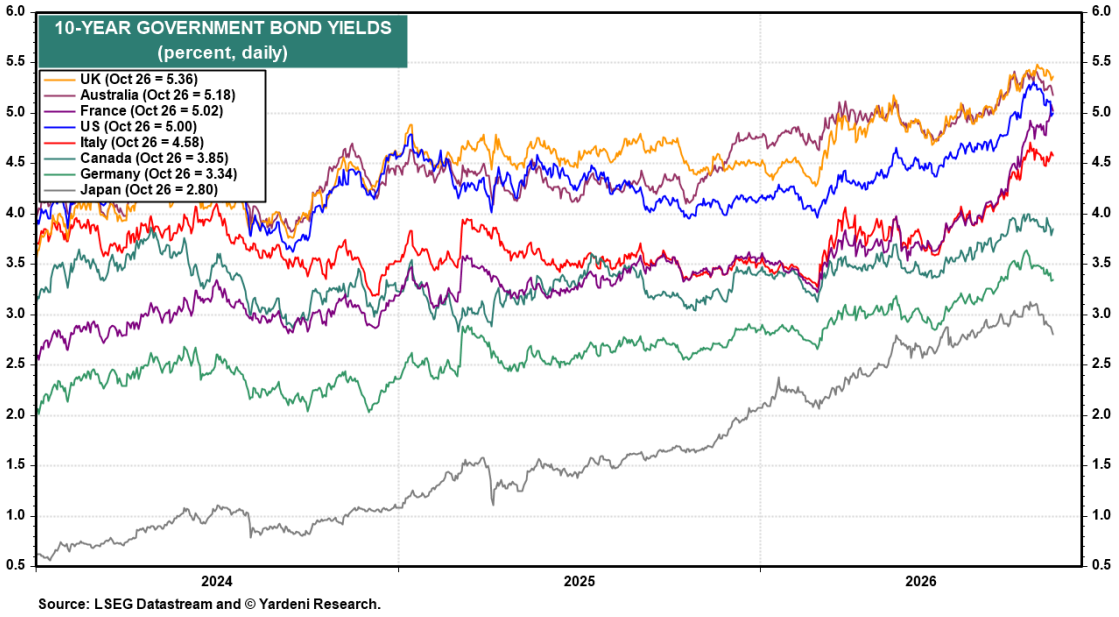


Photo by Jeffrey Hamilton / Unsplash

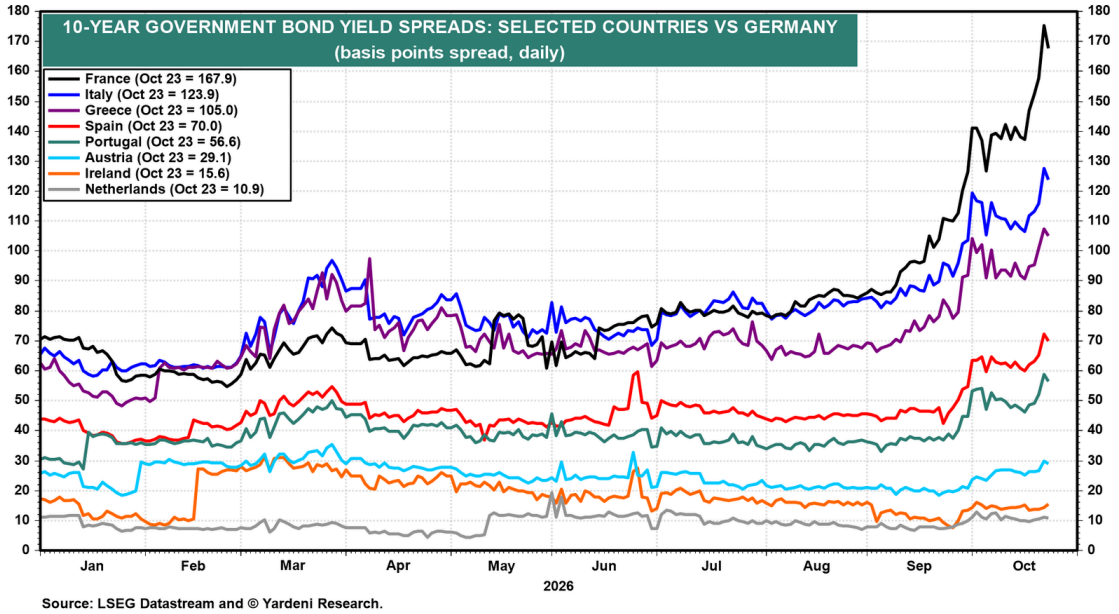
Bond yields eased in most major markets last week, but France was the glaring exception. In stocks, the global AI selloff kept hitting the equities markets that had gained the most this year, putting the US back ahead of the All Country World ex-US ytd. That supports our downgrade last week of Go Global to market weight, though the fundamental case for overseas stocks remains strong. Here's more:

I. Global Bonds

Yields fell in five of the eight major bond markets we track (chart). The US 10-year Treasury yield fell to 5.00%. France's yield jumped 24bps to 5.02%, slightly surpassing the US's. Yields also fell in the UK, Australia, Germany, and Japan.



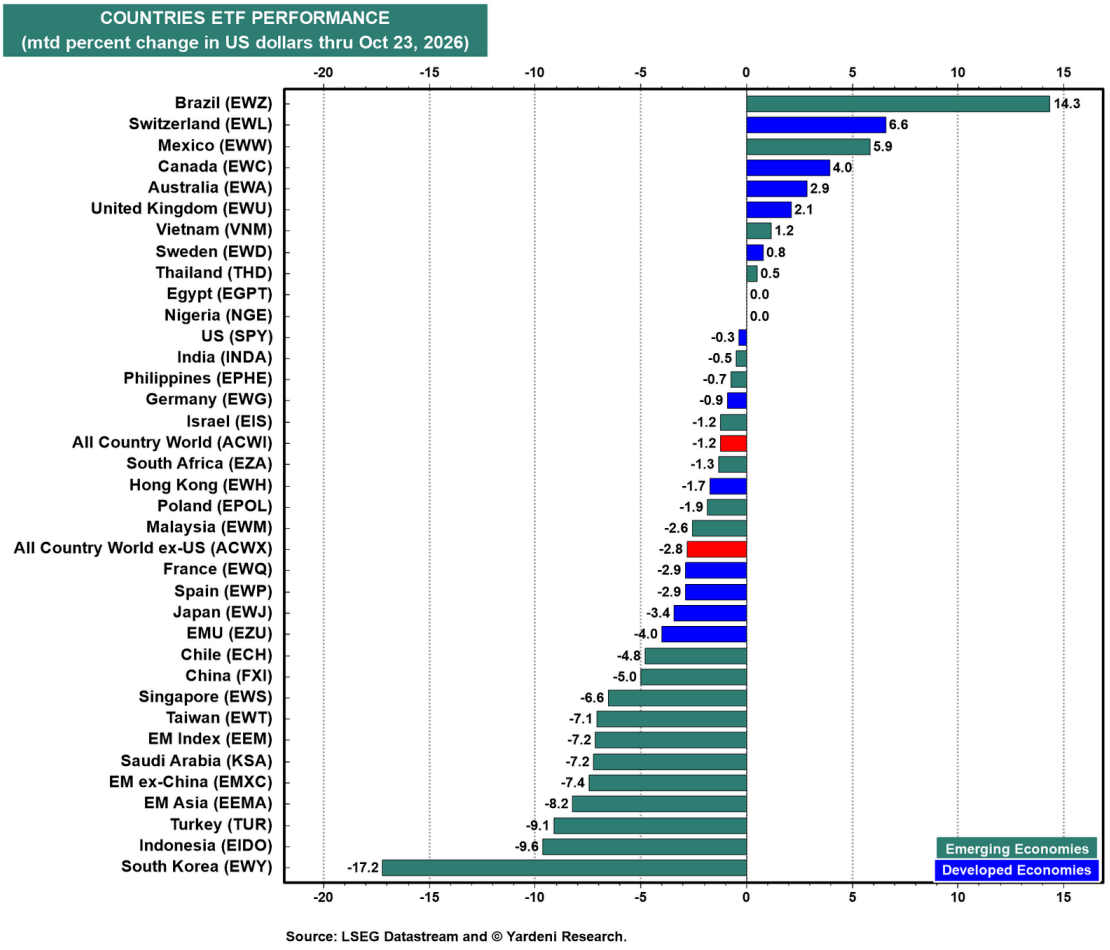
The spread between French and German 10-year yields widened 31bps last week to 167.9bps (chart). Last week, we wrote that contagion from France had eased for now. It's back. Italy's spread widened to 123.9bps from 106.6bps. Greece's widened to 105.0bps from 90.8bps. Italy's 10-year bond now yields 44bps less than France's.



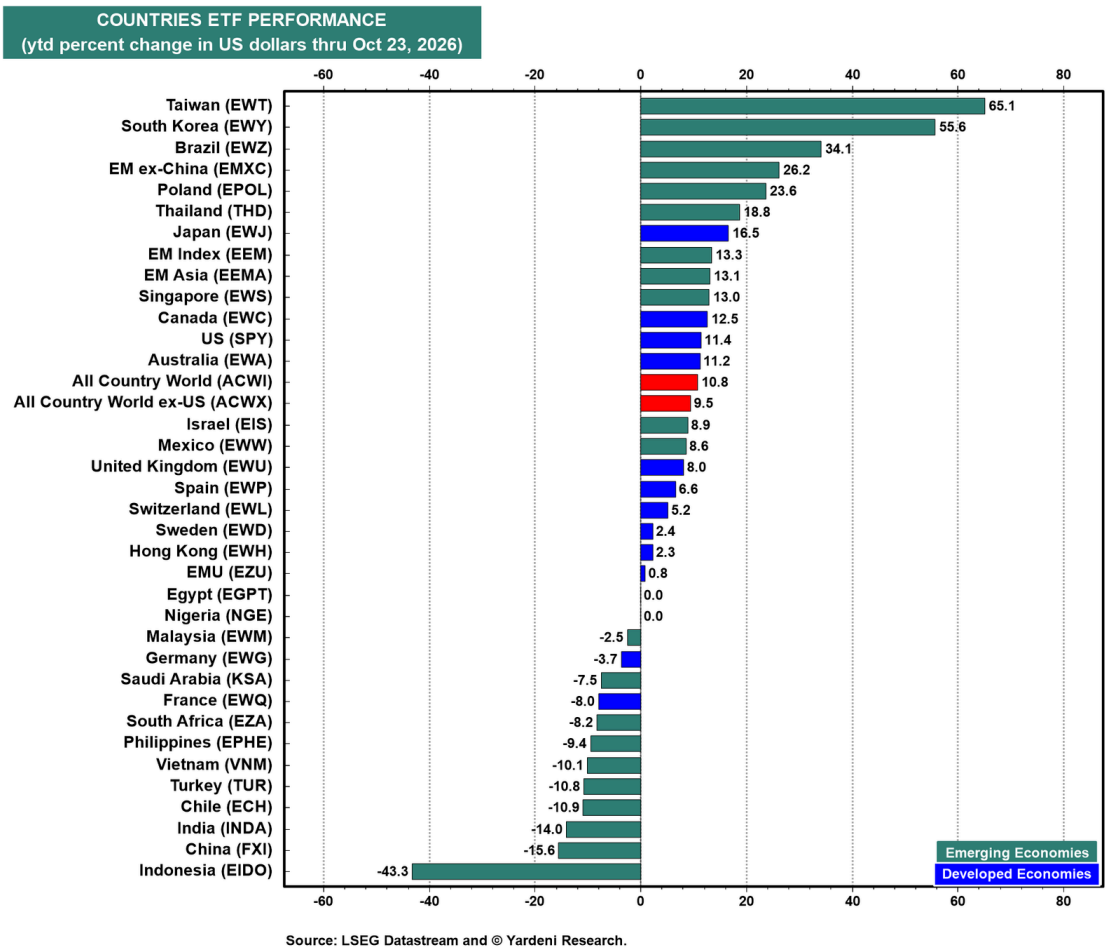
II. Global Stocks

Brazil remains at the top of the country ETF rankings mtd, up 14.3% in dollars (chart). South Korea remains at the bottom, down 17.2%. The US

is down just 0.3%, while the All Country World ex-US ETF is down 2.8%.



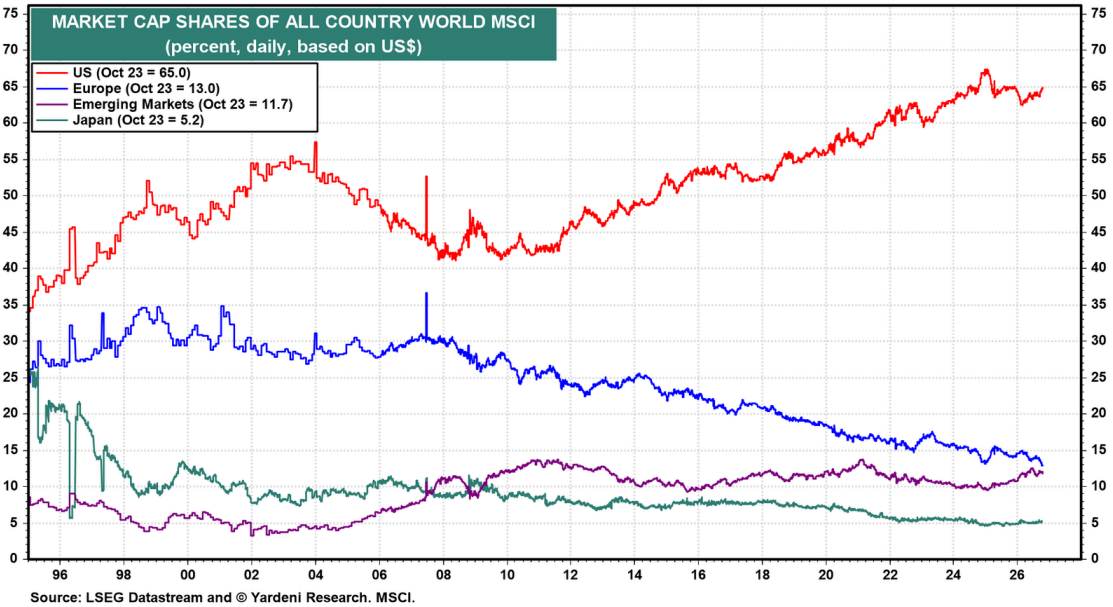
Go Global no longer leads Stay Home this year. The US ETF is up 11.4% ytd, ahead of the All Country World ex-US ETF's 9.5% (chart). Taiwan (65.1%) and South Korea (55.6%) still top the ytd rankings, followed by Brazil (34.1%). China (-15.6%) and Indonesia (-43.3%) are at the bottom.



Source: LSEG Datastream and © Yardeni Research.

III. Global Earnings & Valuations

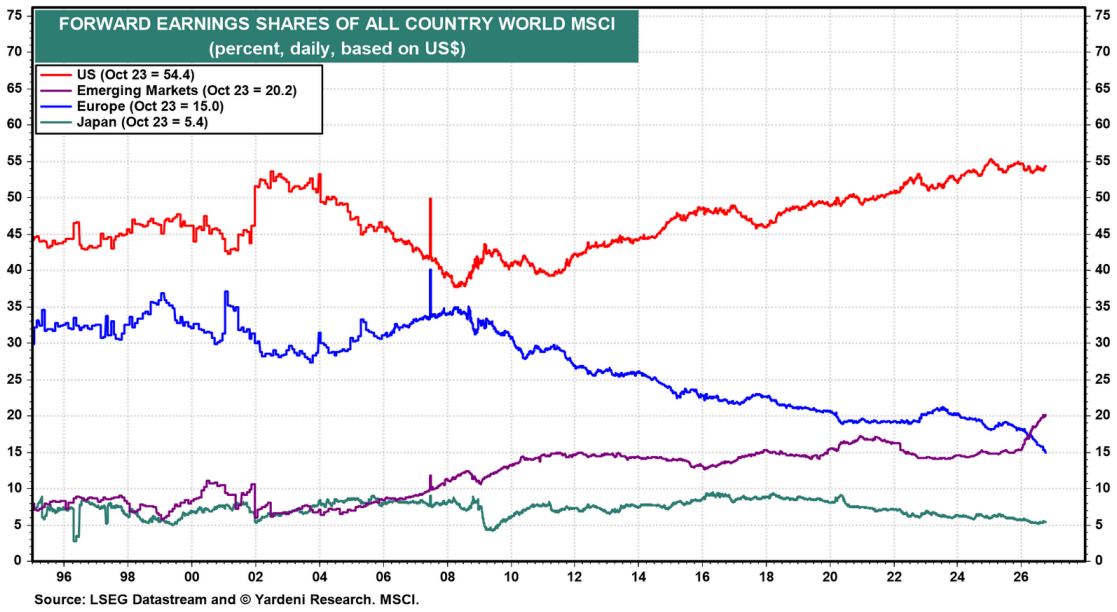
The US MSCI's share of the All Country World MSCI's market cap has edged up to 65.0% (chart). The Emerging Markets (EM) MSCI's share slipped to 11.7% from 12.1% last week.



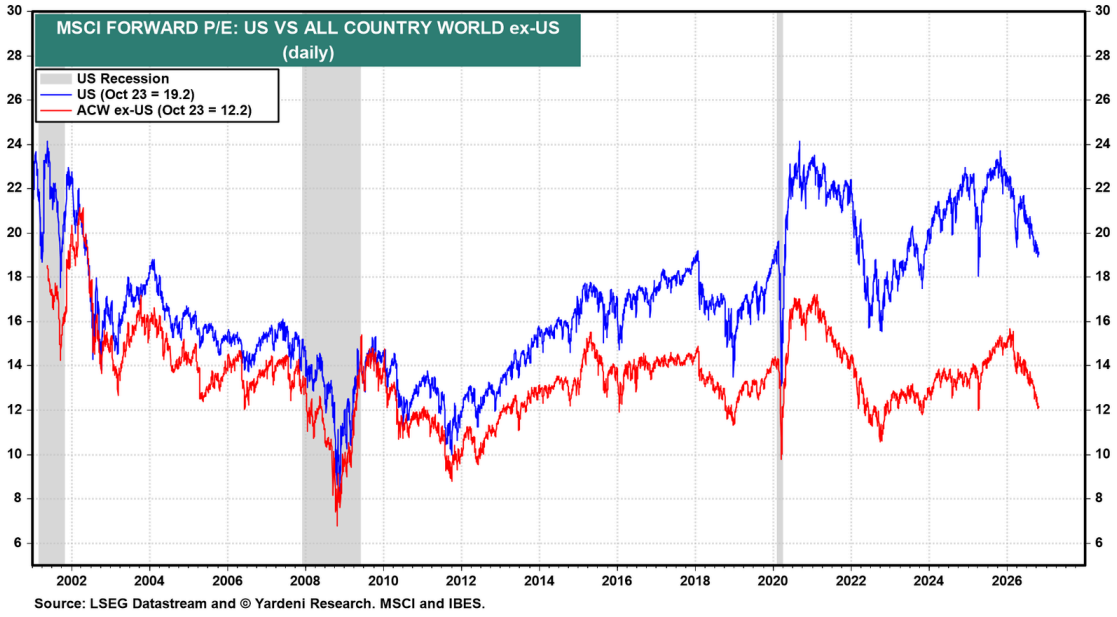
Source: LSEG Datastream and © Yardeni Research. MSCI.

Yet the EM MSCI now accounts for 20.2% of the All Country World MSCI's forward earnings (chart). That's more than Europe's 15.0%. It's the first

time that EM has overtaken Europe since the data began in 1995. The US accounts for 54.4% of forward earnings, well below its market-cap share.



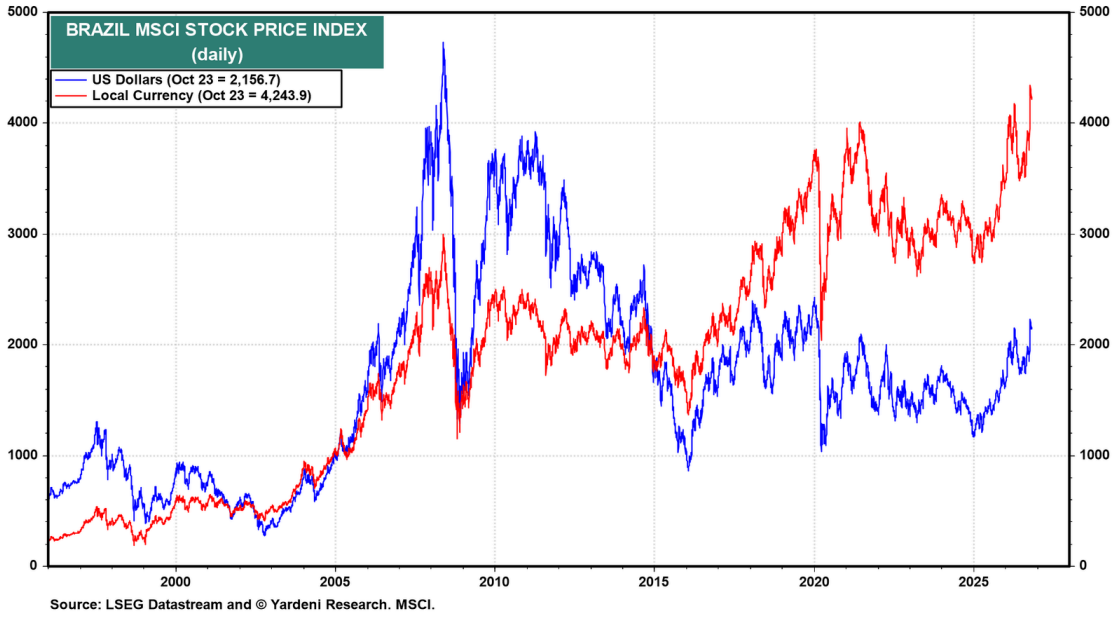
That mismatch shows up in valuations. The US MSCI's forward P/E is 19.2 versus 12.2 for the All Country World ex-US (chart). The ex-US multiple has dropped from 15.7 in January even as its forward earnings soared. The EM MSCI trades at just 9.0.



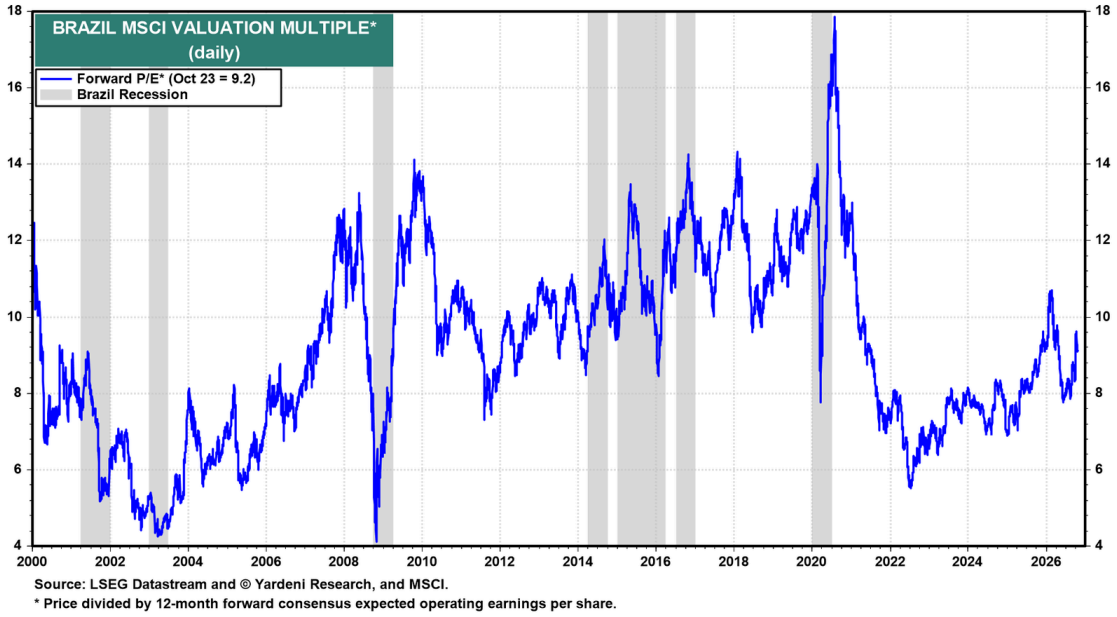
IV. In Focus

(1) Brazil. Brazil's MSCI stock price index is up 22.2% ytd in local currency and 31.0% in dollars (chart). The real has gained 8.0% against the dollar this year. In dollar terms, the index remains less than half its 2008 peak. Stocks rallied after Senator Flávio Bolsonaro took a surprise lead in the October 4 first round. He held a narrow edge in the final polls

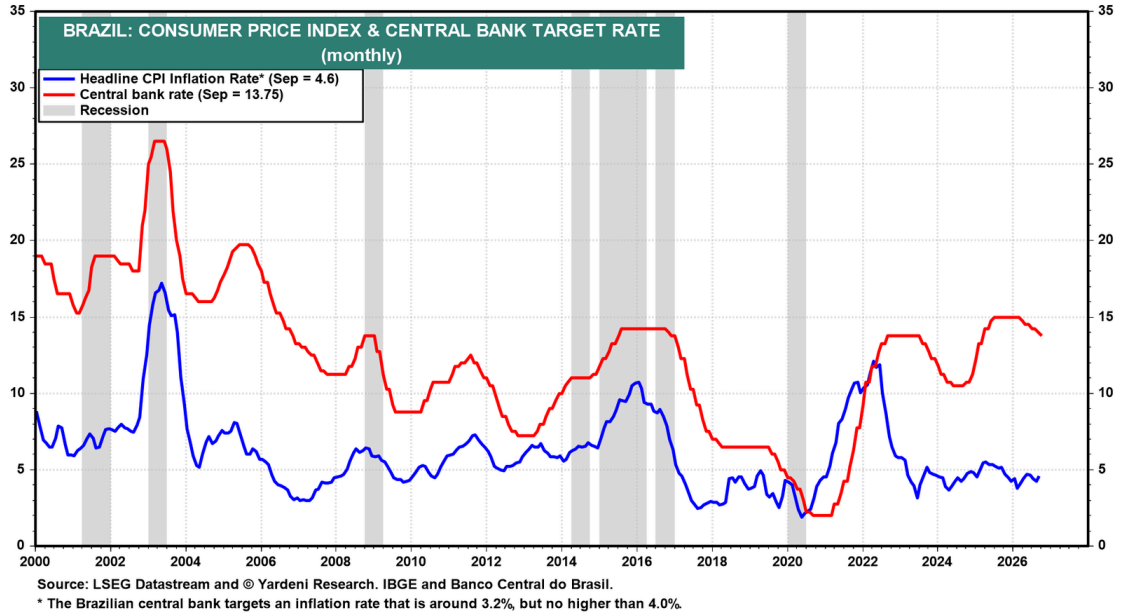
before the October 25 runoff against President Luiz Inácio Lula da Silva. A Bloomberg poll released on October 19 gave Bolsonaro 51.1% of valid votes against 48.9% for Lula.



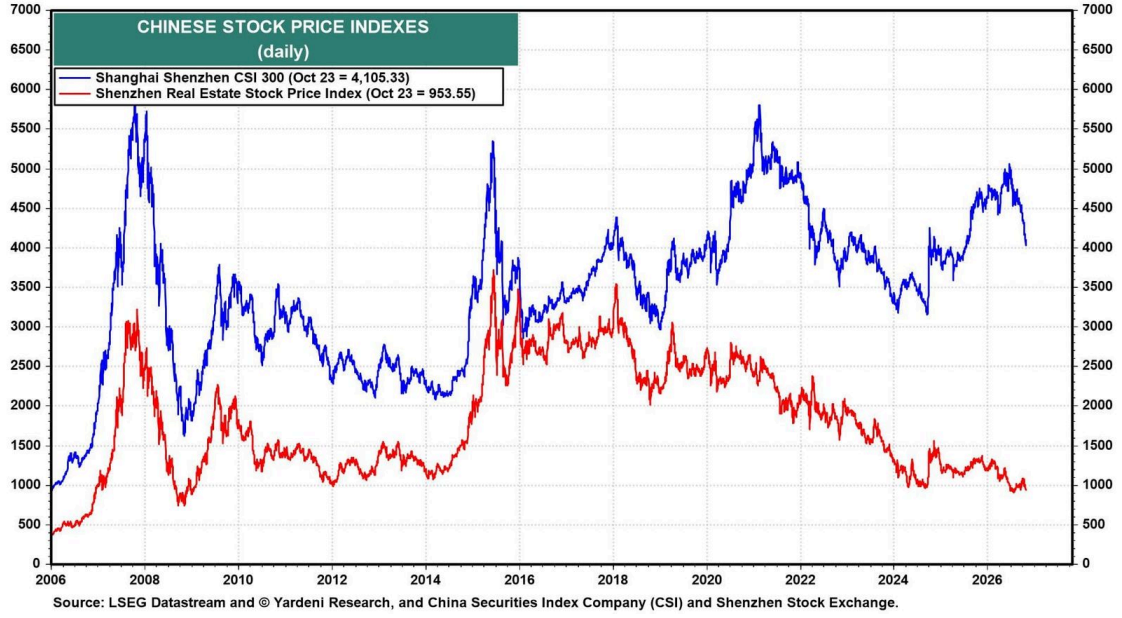
Valuations aren't stretched. Brazil's forward P/E is 9.2 (chart). That's below its 2025 high of 10.7. The catch is that analysts expect earnings to grow 44.6% this year but just 0.6% in 2027.



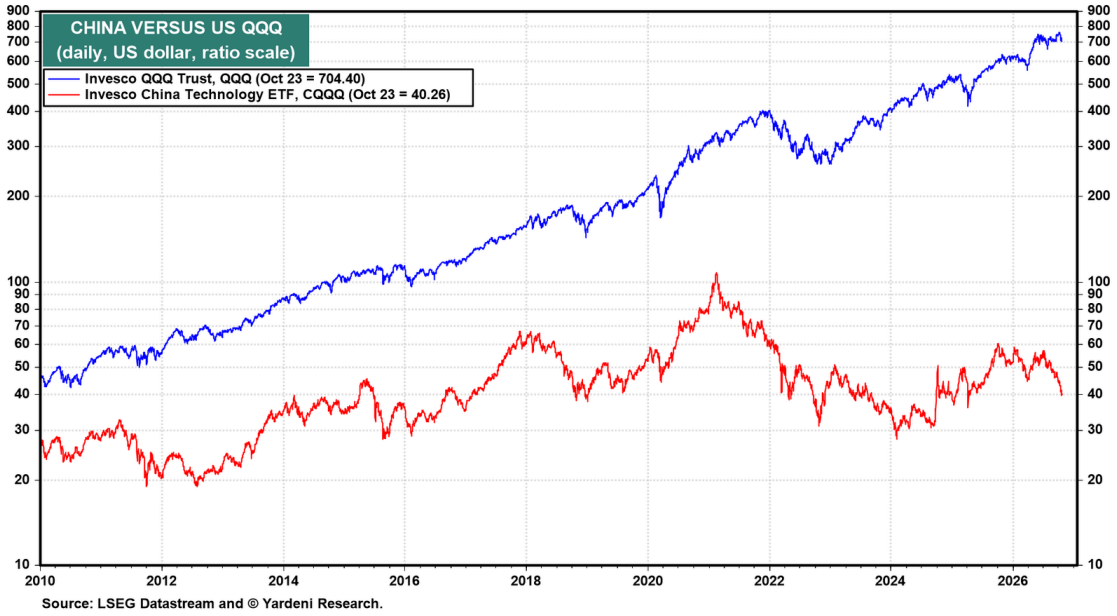
Brazil's central bank has room to ease. It has lowered the Selic rate to 13.75% from a peak of 15.00% (chart). Inflation was 4.6% in September. That leaves a real policy rate of about 9%.



(2) China. China's property bust is deepening. The Shenzhen Real Estate Stock Price Index fell to 953.55, breaking below the floor that had held since 2012 (chart). Last week, we wrote that we would worry if it did that. Now we are worried. Real estate investment is down 20.6% through the first nine months of the year. Exports continue to carry the economy.



Beijing's stabilization efforts haven't stopped the selling. The China ETF (FXI) fell 4.5% last week. Chinese technology stocks have missed the AI rally that lifted US tech (chart). The China Technology ETF (CQQQ) is at 40.26, far below its 2021 peak.



China's bond market confirms the deflationary picture. The 10-year government bond yield is down to 1.62% (chart). It's one of only two major yields that have fallen this year. China's yield is now well below Japan's 2.80%.



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